

Upward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Long-term bullish reversal	Short-term bullish reversal
Performance rank	12 out of 39	11 out of 20
Breakeven failure rate	13%	13%
Average rise	46%	27%
Volume trend	Downward	Downward
Throwbacks	65%	67%
Percentage meeting price target	74%	55%
See also	Broadening bottoms; broadening formations, right-angled and descending; broadening wedges, descending; head-and-shoulders bottoms; head-and-shoulders bottoms, complex; triangles, descending; three rising valleys	

Triple bottoms act as reversals of the downward price trend by definition. They appear after a downtrend as three valleys that bottom near the same price. Price climbs after the pattern ends.

How well does the pattern work? The performance rank shows it's closer to 1 (best) than the end of the list (for upward breakouts, anyway). Failure rates, based on how often the pattern fails to see price rise more than 5% after the breakout, rank 16 and 10, for bull and bear markets, respectively. That's about mid-list.

Volume trends downward most often. Throwbacks occur about two-thirds of the time, which is what we see in most other types of chart patterns. Finally, price reaches the measure rule target between half (55%) and three quarters (74%) of the time on average.

What does all of this mean? I've traded this pattern over a dozen times and have struggled to make money doing so. The problems center around